

Ads & Partnership - PT1 - Bet Overview

Bet Name	Ads & Partnerships	Team Lead	Moritz Natalini	Status	Live since January 21'
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Bet Summary

We are building Advertising and Brand Integration capabilities to unlock new growth opportunities on our Digital Platform. This BET is driven by three core reasons:

- 1) Ads & Partnerships brings a substantial and steady revenue stream towards Digital Platform
- 2) We unlock revenues and retention by distributing Rewards to our player and users
- 3) We reduce costs by automating the campaigns activations and reporting

Upside - The final prize

As Faceit scales from 2.4M to 10M users by 2029, the Ads team is uniquely positioned to deliver continuously growing revenue through highly scalable products. Unlike other streams that may plateau, advertising naturally expands with user growth and platform engagement. We're not only focused on acquisition and conversion KPIs for advertisers, but increasingly on retention and reactivation, aligning directly with Faceit's long-term user lifecycle strategy. Our ability to drive both performance and brand outcomes makes advertising a key enabler of sustainable growth. Continued investment will ensure we unlock the full revenue potential of every stage in the funnel.

Why, Why now, Why EFG - Our right to win

Vision alignment: to monetise all the users with Brand Integrations and only free users with Advertising

Strategic alignment: The model is aligned with Digital Platform and the Beyond Play vision

Strengths:

- EFG opportunities: Dreamhack and ESL awareness part and Faceit conversion
- EFG esports: unique audience in the market
- 25% conversion rate (deposit, buy or trade)
- we generated 1M of qualified leads to our partners via accounts linkage on FACEIT within 1 year (60% of Faceit Total MAP),
- 7 unique Partners integrated their CRM with our CDP which lead to
- generating 1.2 GB of second-party data and 60 unique data points to enrich our FACEIT user profiles and improve targeting.

Challenges:

- Discrepancy between FACEIT tier 3 heavy audience and ads commercial team focusing on tier 1 countries.
- 90% of the brand Integration revenues are coming from Eugene which are only focused on performance KPIs.
- No B2B Product Marketing support to encourage the rest of the commercial team to actively sell Faceit.
- Regulations & legal complexity with Crypto, betting and fin tech partners
- Ad Manager not working in Russia, requiring us to hard code ads
- CS2 focused only environment

Opportunities: High growth on beyond play propositions, which likely will have Ads & partnerships as core monetisation model

Threats: Legal complexity in crypto, betting, fintech, privacy, etc. Geopolitical instability that limits the monetisation of audiences (Russia-Ukraine conflict)

PLAN (How to succeed) - High-level Milestone Sequencing

Phase 1: [2024] Milestone towards driving performances revenues by building the account linkage and the Customer Data Platform

Phase 2 [2025] This phase focused on optimization through established marketing frameworks, shifting the approach from purely conversion-driven to also include awareness KPIs. We introduced a clear conversion strategy using the AIDA funnel (Attention, Interest, Desire, Action), while also enhancing gamification through the Drops mechanism, aimed at increasing completion rates and improving the effectiveness of reward distribution.

Phase 3 [2026] The Milestone will be moving from a competition activation contract based to a performance based. This will be achieved by scaling impact through personalization and automation: Key priorities will include: auto segmentation using enriched CDP with 3rd party data and the rest of the EFG brands. Expansion into new inventory types (e.g. Watch, and in-game advertising) and tighter integration with third-party platforms (HLTV, Mobalytics) . Real-time optimization via AI/ML to dynamically adapt campaign elements including assets, rewards. Continue driving both upper-funnel awareness and lower-funnel performance, using data experimentation.

Phase 4 [2027 / 2028] focuses on unlocking full platform monetization and ecosystem value, transitioning from a sales enablement to revenue generation and partner scalability for example: Launching a self-serve Brand Integration platform for external partners and advertisers.

BASE - Investment profile Next 5Y	'24	'25	'26	'27	'28
Total Revenues (€M)	6.1	5.6	6.3	10.7	25.7
Advertising Revenues (€M)	0.7	2.5	2.8	5.2	9.3
Brand Integration Revenues (€M)	5.4	3.1	3.5	5.5	16.5
Profit Margin					
ARPU ads (€)	0.03	0.10	0.10	0.10	0.10
ARPU Brand Integration (€)	0.24	0.13	0.12	0.11	0.16

* 2026-2027 based on commercial deals pipeline revenues ([link](#)). 2028 based Digital 5 YP from the end of 2024.

Ads - PT2 - Q3 Bet update

Last Update Date	2 Oct 2025	Update Authors	Moritz Natalini
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KPIs (Source: Looker)	Q3 2025	Trend	Q2 2025	'25 Target	'26 Target	'28 Target
Total Revenues (M€) - Northstar	1.4	=	1.3	5.0 YTD: 3.2	6.3	25.7
Advertising Revenue (M€)	0.07	↓	0.94	2.5 YTD: 1.2	2.8	9.3
Brand Integration Revenue (M€)	0.78	↑	0.40	3.1 YTD: 1.9	3.5	16.5
Account Linkage	95,173	↑	64,173	600,000	764,000	2.4M
Conversions	9,755	↑	8,369	44,000	56,000	176,000

Qualitative Update

Overall Status - [ON TRACK vs F2]

What we released in Q3:

- **Engagement Engine POC:** (long term vision: automated trigger to encourage users to convert) We sent reminders via the activity notifications using custom and psychological message based and sent it on strategic timing (when user is active and up to 4 times per challenge.
 - Metrics: Uplift of +0.21 pp compared to control about a 0.8% relative improvement
 - KL: reminders work and the physiological frame matters. Very effective when users are engaged with the brand
- **Marketing Funnel: "Awareness"** : we introduced a new frame to formally analyse where the user is with the brand. The first test is to drive more account linkage and drive users toward the middle of funnel via a the Missions
 - Metrics: the test was inconclusive
 - KL: users associated with the partner / vertical don't need encouragement and other users will be motivated by Faceit rewards. We'll be re-using the UX modal for other steps in the funnel
- **Mission Chain (sequential segment):** Currently, unlinked users can retroactively complete previously finished challenges (e.g., KYC, first deposit) after linking their partner account, which leads to unnecessary use of partner reward budgets. In the sequential segment, only one KPI will be displayed per mission, although users can still unlock multiple missions within the same month.
 - Metrics: uplift of +1.96 pp compared to control. That's about a 94.7% relative improvement
 - KL: users seem to be intrigued by enabling a new mission. We increased completion overall
- **Publift:** We implemented this reseller above Ezoic in our GAM waterfall using their prebid solution
 - Metrics: big uplift in revenues in the first 20 days: \$30K pm, with a peak of \$2,300 in one day, 70% fill-rate
 - KL: Ezoic poor performances were due to latency. We can improve further Publift eCPMs with viewability optimisation
- **2026 partner strategy:** In 2026, we'll shift from having many small partners to focusing on fewer, higher-budget ones within key verticals (Crypto, Case Opener, Financial Services & Fintech, and Food Delivery & QSR). This focus will enable deeper integrations, better use of commercial and product resources, and higher revenues driven by partner exclusivity on the platform.

- Status: POC for case opening, fintech and food delivery 90% ready. Crypto is still under discussion
- **Advertiser Portal:** create a self-service portal for the partner to real time data for Mission increasing trust and simplify the internal operational
- **Exclusive Branded events:** exclusive competitions to increase partners conversion KPIs, “make a deposit and unlock an exclusive event with exclusive rewards”
 - Metrics: 75% engagement with the raffle tickets distributed
 - KL: it doesn't drive FTD or KYC however, it increase the loyalty with users that are already engaged with the brand

Learning

We validated several foundational initiatives aimed at improving conversion and engagement. The Engagement Engine POC showed that timely, psychologically framed reminders effectively drive user actions, particularly among already engaged users. Through the Marketing Funnel framework, we established a clearer view of user progression and successfully moved more users from awareness to mid-funnel via Missions. The Mission Chain improvements reduced unnecessary reward spend while increasing completion rates, confirming that users are motivated by unlocking new challenges. On the monetization side, integrating Publifit significantly boosted ad revenue and highlighted the importance of optimizing viewability to maximize eCPMs. Strategically, we defined a 2026 focus on fewer, higher-value partners per vertical to deepen integrations and drive exclusivity-based revenue growth. Finally, early tests with the Advertiser Portal and Exclusive Branded Events demonstrated strong engagement and partner trust potential, reinforcing the value of transparency and loyalty-building experiences. After all of these we were able to validate that our users are very engaged with WL as they make more than weekly deposit

Q4 2025 Targets

- 1. Drive conversions (Mid-Funnel Focus):** Shift focus from top-of-funnel awareness (e.g., account linkage) to initiatives that move users further along their journey and increase conversion rates. Also leverage Drops & Awareness modal to test new features to increase variety and user participation.
- 2. Scale the Engagement Engine (towards MVP):** Evolve beyond transactional challenges to include key first-time actions such as identification, first deposit, and trades.
- 3. Improve Mission Chain UX:** Simplify and enhance the experience to boost completion rates, prioritizing user progression over reward-saving mechanics.
- 4. Strengthen the Advertiser Portal:** Expose funnel metrics and improve data pipelines and dashboards for clearer performance insights.
- 5. Explore Branded Events:** Begin discovery work to evolve the format and better support awareness-related KPIs.
- 6. Keep Improving Advertising (direct & remnant):** Continue improving ad viewability to drive both direct and indirect revenue growth. Use market data to improve fill rate and eCPMs, focusing on high-value outstream video inventory.
- 7. Test Mobalytics prebid integration:** Evaluate potential revenue uplift by simplifying the monetization stack and reducing dependency on intermediaries like Publifit.

Challenges/Blockers/Decisions

- Maintaining team focus is a challenge, as the Advertising and Brand Integration initiatives differ significantly from our core work and increase cognitive load, which can lead to missed details and simple mistakes.
- Consent management platform ownership

Financial Update	Invested to Date	Expected Investment Until Profitability	Expected “Mature State” Financial Profile

Ads - PT2 - Q2 Bet update

Last Update Date	10 July 2025	Update Authors	Moritz Natalini
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KPIs (Source: Looker)	Q2 2025	Trend	Q1 2025	'25 Target	'26 Target	'28 Target
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Total Revenues (€M) - Northstar	1.3		1.1	6.3 YTD: 2.4	6.3	25.7
Advertising Revenue (M€)	0.94		0.30	2.5 YTD:1.2	2.8	9.3
Brand Integration Revenue (M€)	0.40		0.81	3.1 YTD:€1.2	3.5	16.5
Account Linkage	64,173		237,567	600,000	764,000	2.4M
Conversions	8,369		7,482	44,000	56,000	176,000

Qualitative Update

Overall Status - [OFF-TRACK]

What we released in Q2:

- Reward schedule: an overview of all the current and future rewards per organiser broken down by competition
- Personalized rewards: Assigning a personalized reward to each user based on first party data using an algorithm
- Auto-generate codes: the ability for admins to auto-generate partner codes such as free bets, etc to speed up the reward setup
- Mission multi reward: Distribute more than one reward for each tasks completion (ie. 100FP + access to an exclusive competition)
- Integrated check-out: it's an account linkage feature that allows users to buy skins from partners without leaving Faceit
- Ads format revamp: Reviewed and improve the KPIs for display and video inventory
- Ezoic: a reseller that monetise our remnant inventory (main contributor of off track)

We have also worked on these initiatives, which are planned for Q3 release: Exclusive Branded Events, Loyalty Drops, Awareness Missions, Advertising Portal, Engagement Engine and Publift.

Impact: Drove an up lift of ARPU from €0.13 to €0.16 (MAU)

Learnings: We currently lack sufficient tracking of user behavior related to engagement with brand competitions, which limits our ability to build effective retargeting strategies. To create a more continuous and connected user experience, we need to implement formal tracking of these interactions. For example, we've seen that the Mission format is an effective tool for driving user acquisition. However, many of the users acquired through this channel become inactive, highlighting the need for better engagement tracking and hook mechanisms.

Q3 2025 Targets

In the upcoming quarter, our team will shift from a reactive, sales-driven roadmap to a structured, data-informed approach grounded in marketing funnel principles. Currently, there is no consistent framework guiding user conversion, with most efforts concentrated at the bottom of the funnel—resulting in continuous feature-building with limited strategic impact. Our plan is to implement a full-funnel strategy (awareness → engagement → conversion), using existing tools like **Missions** and **Drops** to guide users through each stage without developing entirely new products. For example, we will restructure Missions into a sequenced journey: starting with account linking (top to mid funnel) and progressing to data-informed conversion tasks (mid to bottom funnel). At the same time, we'll introduce an **engagement engine** to boost mission completion and guide user behavior more effectively. On the reward side, we'll focus on **targeted prize distribution** by tracking engagement data to ensure prizes go to active users, and optimize **Drops** by aligning them with high-intent actions—such as exclusive Drops for users nearing conversion. This strategy will not only increase efficiency and ROI but also build a more predictable, scalable user journey.

The advertising focus will be on continuously optimizing existing FACEIT and Watch ad formats, with a strong emphasis on viewability, completion rate, and CTR KPIs. Additionally, we plan to integrate Cybersports and CSStats into the monetization strategy, while improving the fill rate of remnant inventory through an enhanced reseller strategy.

Challenges/Blockers/Decisions

Maintaining team focus is a challenge, as the Advertising and Brand Integration initiatives differ significantly from our core work and increase cognitive load, which can lead to missed details and simple mistakes

Financial Update	Invested to Date	Expected Investment Until Profitability	Expected “Mature State” Financial Profile

Ads & Partnerships - PT2 - Q1 Bet update

Last Update Date	Apr 1st, 2025	Update Authors	Moritz Natalini
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KPIs (Source: GAM & Salesforce)	Q1 2025	Trend	Q4 2024	'25 Target	'26 Target	'28 Target
YTD ads revenue (€)	€105k		€249k	€2.8m	€3.1m	€9.5m
YTD brand partnership revenue (€)	€411k		€1.5M	€8.3m	€6.8m	€10.5m
Monthly ad inventory (3m avg)	550M		450M			
Monthly ad filled impressions (3m avg)	18M		23M	100m	-	-
eCPM (€)	€0.37		€0.36	\$1.00	-	-

Qualitative Update

Overall Status - OFF TRACK

The Ads team dedicated time to laying the groundwork for advertising growth by evaluating Ezoic as a reseller, implementing Comscore tagging to attract agency budgets, and revamping FACEIT's display and outstream video ad formats to meet market standards. Additionally, we improved Watch inventory by optimizing mid-rolls for live streaming and pre-rolls for VOD, improving both user experience and monetization. On the brand partnership side, we advanced the Missions 2025 relaunch, focusing on UX and back-end improvements, while driving engagement in the FP Shop. We introduced multi-rewards and segmented branded events, along with enhancements to the Organisers and Advertisers discovery pages. Finally, we worked on personalized rewards to refine user engagement and advertiser impact. Despite ongoing challenges, we've seen notable wins—Winline is highly satisfied, as we've successfully driven increased spending on engaged users, reinforcing their investment in our platform. Additionally, Tradeit's three-month test budget met their KPIs, leading them to renew for a 12-month commitment, validating our ability to deliver strong performance for advertisers.

Q2 2025 Targets

This quarter, our primary goal is to drive revenue by integrating indirect demand sources while optimizing the product launched in Q1. We are implementing Ezoic and Publift to maximize yield, improving FACEIT ad formats to enhance KPIs like CTR, and refining premium overlays for better engagement. To expand inventory and boost engagement, we are supporting HTLV for increased availability and optimizing mid-roll ads to improve completion rates.

On the brand partnerships front, we are building a scalable, user-centric ecosystem where partners and users engage through structured, gamified, and personalized experiences. This approach will strengthen brand interaction, improve user loyalty, enhance long-term monetization, and solidify the user lifecycle, directly impacting advertiser KPIs. To create a Unified Advertiser Engagement Ecosystem, we are focusing on both B2B and B2C initiatives.

- Add personalisation targeting to increase conversions and account linkage rate
- Launching a POC partner portals,
- Streamlining mission activation and admin tooling
- Implementing CRM logic to improve conversion rates.
- Developing a new Partner user page to increase loyalty and optimize communication,
- Introducing monthly drops to reward engaged users
- Launching a Prize Schedule to boost anticipation and participation.
- Personalized rewards using an open-source ML module to tailor experiences to individual users

Challenges/Blockers/Decisions

Qiddiya's withdrawal from the revenue forecast presents a significant challenge; requiring us to identify ways to integrate ad hoc demand sources without a Prebid solution, while ensuring direct deals remain unaffected. Additionally, the absence of a dedicated commercial team actively selling FACEIT, coupled with the lack of B2B product marketing support, All limits our ability to proactively assist the commercial team and business developers in driving new opportunities. Further complicating matters, the legal team remains skeptical about crypto advertisers, creating additional barriers to securing partnerships in this space.

Financial Update	Invested to Date	Expected Investment Until	Expected "Mature State" Financial Profile
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Profitability

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